AI Inputs and the Licensing Economy

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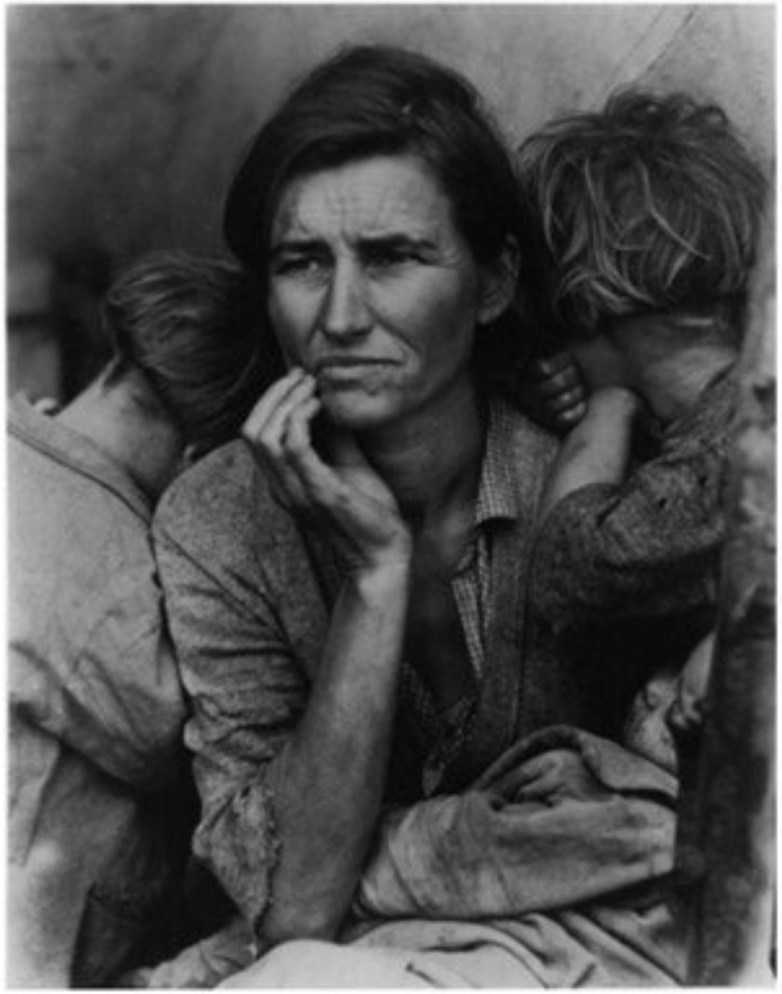
LLM seminar
Copyright in the Digital Environment
4 March 2026

Getty Images v Stability AI [2025] EWHC 2863 (Ch)



Brogden, J., & Erickson, K. (2025). On the process of image creation with artificial intelligence: Rephotography using Midjourney AI. CREATe. https://doi.org/10.5281/zenodo.16883055

‘Memorisation’ – the <u>model</u> no longer needs access to the (possibly infringing) dataset because it ‘knows’ the parameters already.

- Prompt panel C: “black and white photograph of a pensive rural mother evicted from farm, looking to the left with hand on cheek, two young children hiding their faces away from camera behind her back, dirty faces, gingham shirt, tattered clothing, lines in forehead, worried expression, grainy, --ar 4:5”.
- Since Dorothea Lange was a highly celebrated and important photographer, we wondered if Midjourney would be able to identify her style and apply it to the prompt. We asked it to produce the image ‘in the style of Dorothea Lange’ and the results are shown in panel D.

Geopolitics of AI (copyright) Regulation

- US: fair use litigation (100+ cases)
  - also State laws: California “Transparency in Frontier Artificial Intelligence Act” (September 2025) – focus on risk management
- China:
  - Interim measures (August 2023) – requires lawful (but undefined) sources for training, consent for use of personal information
  - Labelling and security standards issued by State Administration for Market Regulation and the Standardization Administration of China (2025)
- EU:
  - Copyright in the Digital Single Market Directive (CDSM 2019), 2021 implementation date (Art. 4 opt-out from data mining)
  - AI Act 2024: CDSM applies, transparency template, code of practice
- UK: copyright reform debated since 2021

Key litigation

- US Fair use cases (selection)
  - *Bartz et al. v. Anthropic PBC*, Northern District of California
    Training is (transformative) fair use, but use of infringing copies for training is primary infringement (23 June 2025)
    Settlement (preliminary approval 25 Sept 2024): minimum of $1.5 billion for past use of pirated books; $3,000 for each of the approx 500,000 works downloaded from LibGen or PiLiMi
  - *Getty Images (US) v. Stability AI*, U.S. District Court for the District of Delaware, No. 1:23-cv-00135
  - *Andersen et al v. Stability AI, DeviantArt and Midjourney*, U.S. District Court for the Northern District of California, No 3:23-cv-00201 (class action of visual artists)
  - *Silverman v. OpenAI and Meta*, U.S. District Court for the Northern District of California, No. 3:23-cv-03416 (class action of writers)
  - *Authors Guild v. OpenAI*, U.S. Southern District of New York, No. 1:23-cv-8292 (class action of trade body with a group of famous writers)

Key litigation (Europe)

- U.K.: *Getty Images (US) Inc & Ors v. Stability AI Limited* [2025] EWHC 2863 (Ch) (4 November 2025)
  Model (that was trained abroad) is not an infringing copy.
- Germany: *GEMA v. OpenAI*, Munich I Regional Court, case no. 42 O 14139/24 (11 November 2025)
  Model infringes copyright by memorizing and reproducing song lyrics.
- *LAION* (Hamburg Regional Court and Appeal Court (Dec 2025), case no. 310 O 227/23)
  Creation of LAION-5B image/text pair dataset constitutes "scientific research" and benefits from CDSM Art. 3 TDM exception.
- CJEU Case C-250/25, *Like Company*: Request for a preliminary ruling from the Budapest Környéki Törvényszék (Hungary) lodged on 3 April 2025 – Like Company v Google Ireland Limited
  Complaint by a press publisher against the provider of AI powered chatbot reproducing and communicating its editorial content.
  (hearing by Grand Chamber of 15 judges on 10 March 2026)

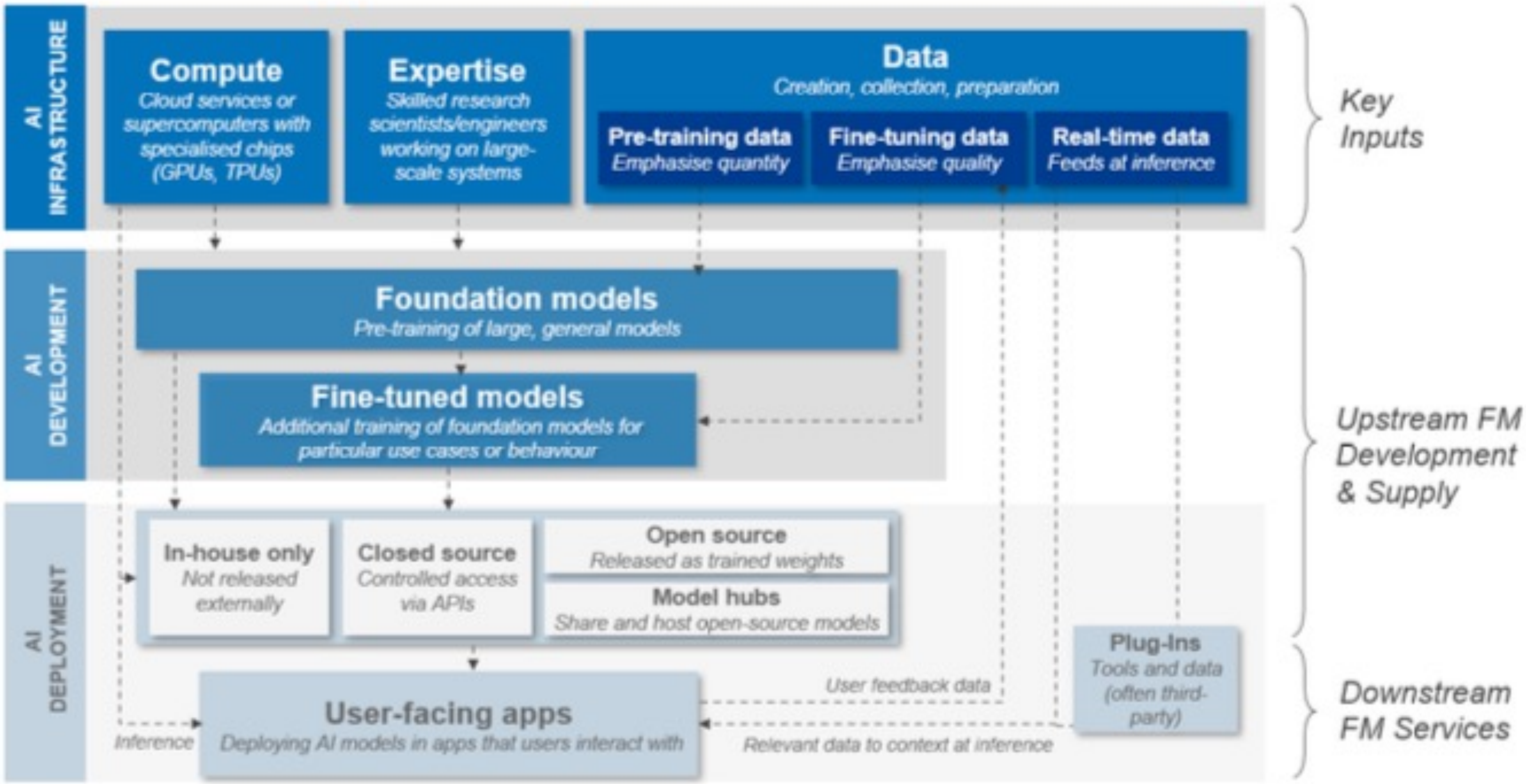
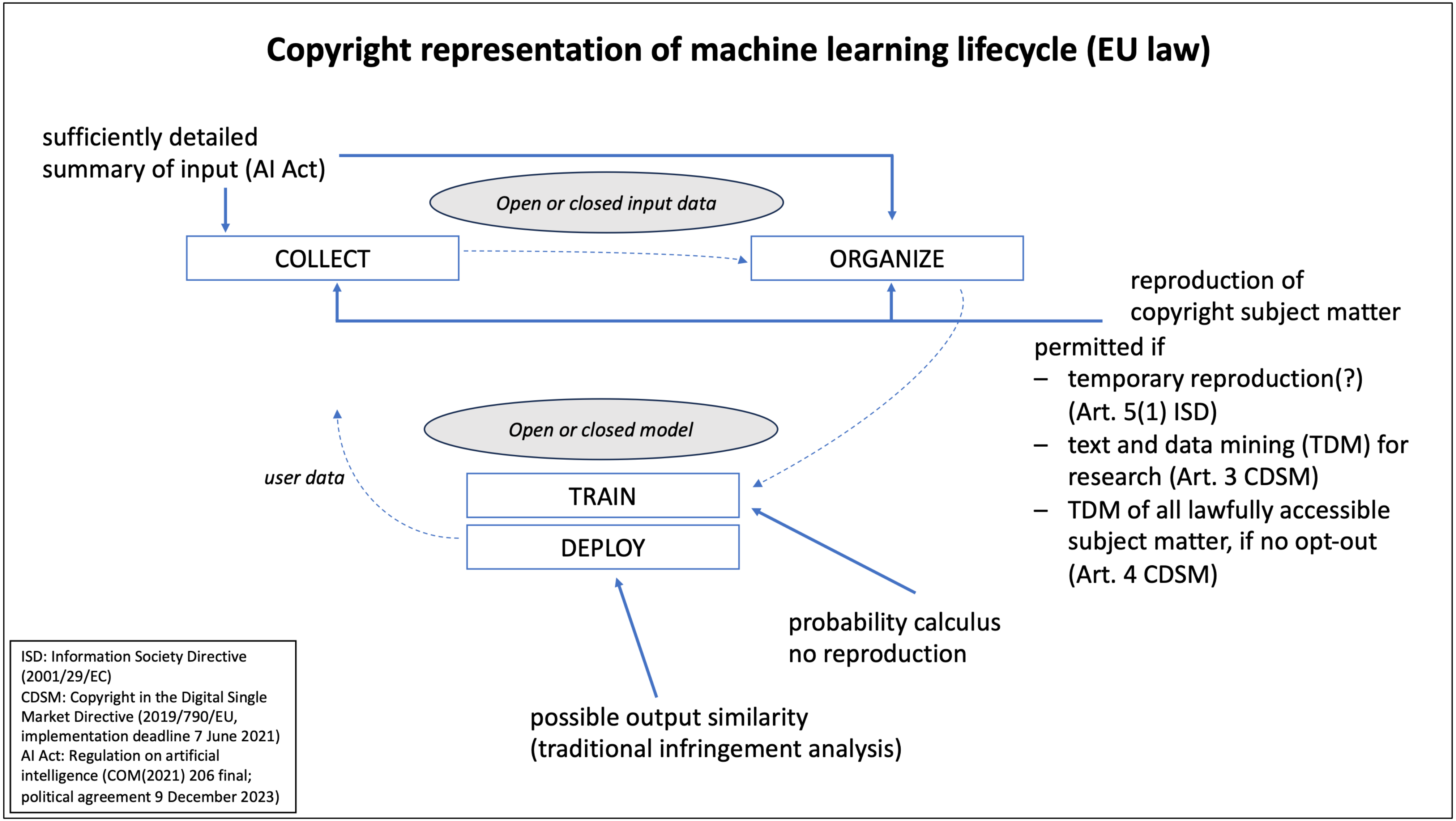


Figure 3: An overview of foundation model development, training and deployment.

https://www.gov.uk/cma-cases/ai-foundation-models-initial-review



Kretschmer, M., Margoni, T. & Oruç, P. Copyright Law and the Lifecycle of Machine Learning Models. International Review of Intellectual Property and Competition Law IIC (2024). https://doi.org/10.1007/s40319-023-01419-3

EU copyright

- Art. 5(1) Information Society Directive: Temporary copy exception

Lawful use condition; permanent copies (crucial for replicability of TDM/AI results) are excluded

- Art. 3 CDSM: TDM exception for research

Beneficiaries: research organisations and cultural heritage institutions

- Art. 4 CDSM: TDM exception for all, and all purposes

Lawful access, opt-out

- AI Act: Obligations for providers of general-purpose AI models

Article 53(1)(c): “Providers of general-purpose AI models shall put in place a policy to comply with Union law on copyright and related rights, and in particular to identify and comply with, including through state-of-the-art technologies, a reservation of rights expressed pursuant to Article 4(3) of Directive (EU) 2019/790;”

Article 53(1)(d): ”draw up and make publicly available a sufficiently detailed summary about the content used for training of the general-purpose AI model, according to a template provided by the AI Office.”

Extraterritoriality (AI Act, Recital 106)

Providers that place general-purpose AI models on the Union market should ensure compliance with the relevant obligations in this Regulation.

To that end, providers of general-purpose AI models should put in place a policy to comply with Union law on copyright and related rights, in particular to identify and comply with the reservation of rights expressed by rightsholders pursuant to Article 4(3) of Directive (EU) 2019/790.

Any provider placing a general-purpose AI model on the Union market should comply with this obligation, **regardless of the jurisdiction** in which the copyright-relevant acts underpinning the training of those general-purpose AI models take place.

This is necessary to ensure a level playing field among providers of general-purpose AI models where no provider should be able to gain a competitive advantage in the Union market by applying lower copyright standards than those provided in the Union.

Code of Practice: COMMITMENTS BY PROVIDERS OF GENERAL-PURPOSE AI MODELS (copyright section)

Recital (a) This Section aims to contribute to the proper application of the obligation of providers of general-purpose AI models placed on the Union market to put in place a policy to comply with Union law on copyright and related rights pursuant to Article 53(1), point (c) AI Act.

- Measure I.2.1. Draw up, keep up-to-date and implement a copyright policy
- Measure I.2.2. Reproduce and extract only lawfully accessible copyright-protected content when crawling the World Wide Web
- Measure I.2.3. Identify and comply with rights reservations when crawling the World Wide Web
- Measure I.2.4. Obtain adequate information about protected content not web-crawled by the Signatory
- Measure I.2.5. Mitigate the risk of production of copyright-infringing output
- Measure I.2.6. Designate a point of contact and enable the lodging of complaints

Code of Practice: Signatories
(European Commission, 2 August 2025)

U.S. Big Tech companies that have signed: Amazon, Anthropic, Google, IBM, Microsoft and OpenAI.

European companies: Aleph Alpha and Mistral AI.

Meta has not signed (ongoing US litigation, involving disclosure of use of books sourced from pirate sites).

xAI (Elon Musk) has signed one of the three chapters of the code.

Also on list: Accexible, AI Alignment Solutions, Almawave, Bria AI, Cohere, Cyber Institute, Domyn, Dweve, Euc Inovação Portugal, Fastweb, Humane Technology, Lawise, Open Hippo, Pleias, Re-AuditIA, ServiceNow, Virtuo Turing and Writer.

Transparency obligations (AI Office template)
(applicable from 2 August 2026)

Model properties					
Model architecture:	A general description of the model architecture, e.g. a transformer architecture. *[Recommended 20 words]*				
Design specifications of the model:	A general description of the key design specifications of the model, including rationale and assumptions made, to provide basic insight into how the model was designed. *[Recommended 100 words]* If any other please specify:				
Input modalities:	☐Text	☐Images	☐Audio	☐Video	If any other please specify:
For each selected modality please include maximum input size or write 'N/A' if not defined	Maximum size: …	Maximum size: …	Maximum size: …	Maximum size: …	Maximum size: …
Output modalities:	☐Text	☐Images	☐Audio	☐Video	If any other please specify:
For each selected modality please include maximum output size or write 'N/A' if not defined	Maximum size: …	Maximum size: …	Maximum size: …	Maximum size: …	Maximum size: …
Total model size:	The total number of parameters of the model, recorded with at least two significant figures, e.g. 7.3*10^10 parameters.				
The range within which the total number of parameters falls.	☐1—500M	☐500M—5B	☐ 5B—15B	☐15B—50B	
	☐50B—100B	☐100B—500B	☐500B—1T	☐>1T	

Information on the data used for training, testing, and validation						AIO	NCAs	DPs
Data type/modality: *Select all that apply.*	☐Text	☐Images	☐Audio	☐Video	If any other please specify:	☒	☒	☒
Data provenance: *Select all that apply*	☐Web crawling		☐Private non-publicly available datasets obtained from third parties		☐User data	☒	☒	☒
For definitions of each listed category, see the Template for the Public Summary of the Training Content of General-Purpose AI models provided by the AI Office	☐Publicly available datasets ☐Synthetic data that is not publicly accessible (when created directly by or on behalf of the provider)				☐Data collected through other means If any other please specify:			

		AIO	NCAs	DPs
How data was obtained and selected:	A description of the methods used to obtain and select training, testing, and validation data, including methods and resources used to annotate data, and models and methods used to generate synthetic data where applicable. For data previously obtained from third parties, a description of how the provider obtained the rights to the data if not already disclosed in the public summary of training data published in accordance with Article 53(1), point (d). *[Recommended 300 words]*	☒	☒	☐
Number of data points:	The size (in number of data points) of the training, testing, and validation data respectively, together with the definition of the unit of data points (e.g. tokens or documents, images, hours of video or frames), recorded with at least one significant figure (e.g. $3x10^{13}$ tokens).	☐	☒	☐
	The size (in number of data points) of the training, testing, and validation data respectively, together with the definition of the unit of data points (e.g. tokens or documents, images, hours of video or frames), recorded with at least two significant figures (e.g. $1.5x10^{13}$ tokens).	☒	☐	☐
Scope and main characteristics:	A general description of the scope and main characteristics of the training, testing and validation data, such as domain (e.g. healthcare, science, law,...), geography (e.g. global, restricted to a certain region,...), language, modality coverage, where applicable. *[Recommended 200 words]*	☒	☒	☐
Data curation methodologies:	General description of the data processing involved in transforming the acquired data into training, testing, and validation data for the model, such as cleaning (e.g. filtering out irrelevant content such as advertisements), normalisation (e.g. tokenizing), augmentation (e.g. back-translation). *[Recommended 300 words]*	☒	☒	☒
Measures to detect unsuitability of data sources:	A description of any methods implemented in data acquisition or processing, if any, to detect the presence of unsuitable data sources considering the model's intended uses, including but not limited to illegal content, child sexual abuse material (CSAM), non-consensual intimate imagery (NCII), and personal data leading to its unlawful processing. *[Recommended 400 words]*	☒	☒	☐
Measures to detect identifiable biases:	A description of any methods implemented in data acquisition or processing, if any, to address the prevalence of identifiable biases in the training data. *[Recommended 200 words]*	☒	☒	☐

Activity

Public Summary of Training Content for general-purpose AI models

Go to the European Commission’s transparency template:

– From a consumer and societal perspective, is this useful information?

– Will it be successful as a new standard in the industry, beyond the EU?

– What do see as potential problems?

https://digital-strategy.ec.europa.eu/en/news/commission-presents-template-general-purpose-ai-model-providers-summarise-data-used-train-their

UK Hargreaves TDM exception
(proposed 2011, enacted 2014)

CDPA 1988, s. 29A: Copies for text and data analysis for non-commercial research

- Exception to the right of reproduction
- for non-commercial research (purpose restriction)
- (no beneficiary restriction)
- Lawful access (condition)
- Sufficient acknowledgment of the source (condition)
- Can’t be overridden by contract

Rossana Ducato (2023), The law of text and data mining: a comparative analysis

	Japan	UK	Art. 3 CDSMD	Art. 4 CDSMD
Object	exploitation	Right of reproduction	Right of reproduction/extraction/press publisher	Right of reproduction/ extraction/press publisher/software
Scope of the TDM	Any	Non-commercial research	Research	Any
Beneficiaries	Anyone	Anyone	Research organisations and cultural heritage institutions (+persons attached and PPP)	Anyone
Precondition	None	Lawful access	Lawful access	Lawful access
Prohibition of contractual overridability	No	Yes	Yes	No

Copyright and AI (UK consultation, closed 25 Feb 2025)

Objectives: • **control:** Right holders should have control over, and be able to license and seek remuneration for, the use of their content by AI models; • **access:** AI developers should be able to access and use large volumes of online content to train their models easily, lawfully and without infringing copyright; • **transparency:** The copyright framework should be clear and make sense to its users, with greater transparency about works used to train AI models, and their outputs

Question 1. Do you agree that option 3 [a data mining exception which allows right holders to reserve their rights, supported by transparency measures] is most likely to meet the objectives set out above?

Question 2. Which option do you prefer and why?

Option 0: Copyright and related laws remain as they are

Option 1: Strengthen copyright requiring licensing in all cases

Option 2: A broad data mining exception

Option 3: A data mining exception which allows right holders to reserve their rights, supported by transparency measures

Is This What We Want? Courtesy Photo

Data (Use and Access) Bill
(House of Lords amendments, 29 January 2025, rejected by HoC)

- “Compliance with UK copyright law by operators of web crawlers and general-purpose AI models: Clause 135(1) [steps operators would have to take] to comply with [the non-copying provisions of] UK copyright law.”
- “Clause 136(1) would require the secretary of state to make provisions requiring operators to **disclose** information regarding the **identity of their crawlers**.”
- “Clause 137(1) would require the secretary of state to make provisions requiring operators to **disclose** information about the **text and data obtained** by web crawlers and used to train AI models.”

Timeline towards a licensing economy

Parliamentary question - E-000479/2023(ASW)
European Parliament

Answer given by Mr Breton on behalf of the European Commission

31.3.2023

The Commission recognises the complexity and importance of the interplay between artificial intelligence (AI) and copyright.

Regarding works protected by copyright which are used to develop AI, under the copyright framework, the developer of the AI should seek the rightholder's consent, unless copyright exceptions apply.

Directive (EU) 2019/790 on copyright and related rights in the Digital Single Market introduces exceptions covering text and data mining (TDM) that are relevant in the AI context.

These exceptions provide balance between the protection of rightholders including artists and the facilitation of TDM, including by AI developers. The new rules permit rightholders to opt-out from the use of their content for TDM purposes.

Member States should have implemented this directive by June 2021. At this stage, the Commission believes that the creation of art works by AI does not deserve a specific legislative intervention. Therefore, the Commission is not planning to revise this directive.

- November 2022: ChatGPT released
- Early 2023: US litigation starts
- March 2023: EU rights reservation likely applies
- End 2023: AI Act in final negotiation phase (trilogue)

Licensing landscape

276 reported deals October 2022 – January 2026 (CREATe tracker)

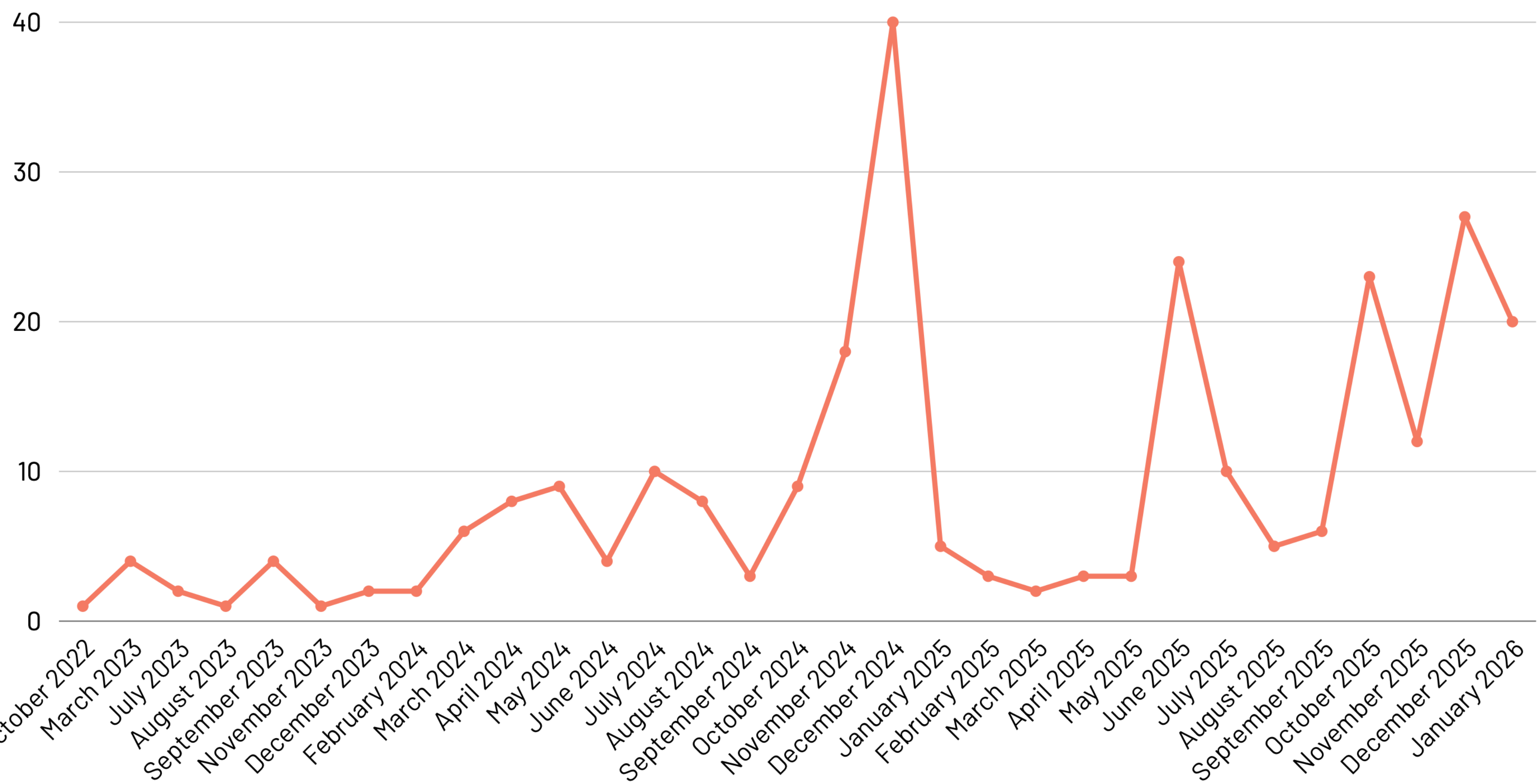
- Example: **Universal Music Group (UMG), Warner Music Group (WMG) and Sony Music Group (SMG)** sign deal with AI companies **Udio, Suno, and KLAY** that settles the companies' copyright infringement litigation.
- Licensing agreement for a "next-generation" AI–powered music creation, listening, and discovery platform set to launch next year.
- Udio's subscription service "will introduce a suite of creative experiences that enable users to **make remixes, covers, and new songs using the voices of artists and compositions of songwriters** who choose to participate, while ensuring artists and songwriters are credited and paid".
- WMG announced a new partnership with Stability AI that will "advance the use of responsible AI in music creation".
- Denmark's Koda and Germany's GEMA, continue to pursue copyright claims against Suno.

Source: https://www.musicbusinessworldwide.com/warner-music-settles-udio-lawsuit-strikes-licensing-deal-with-ai-platform/(19 Nov 2025)

Known commercial agreements
(joint work with Amy Thomas)

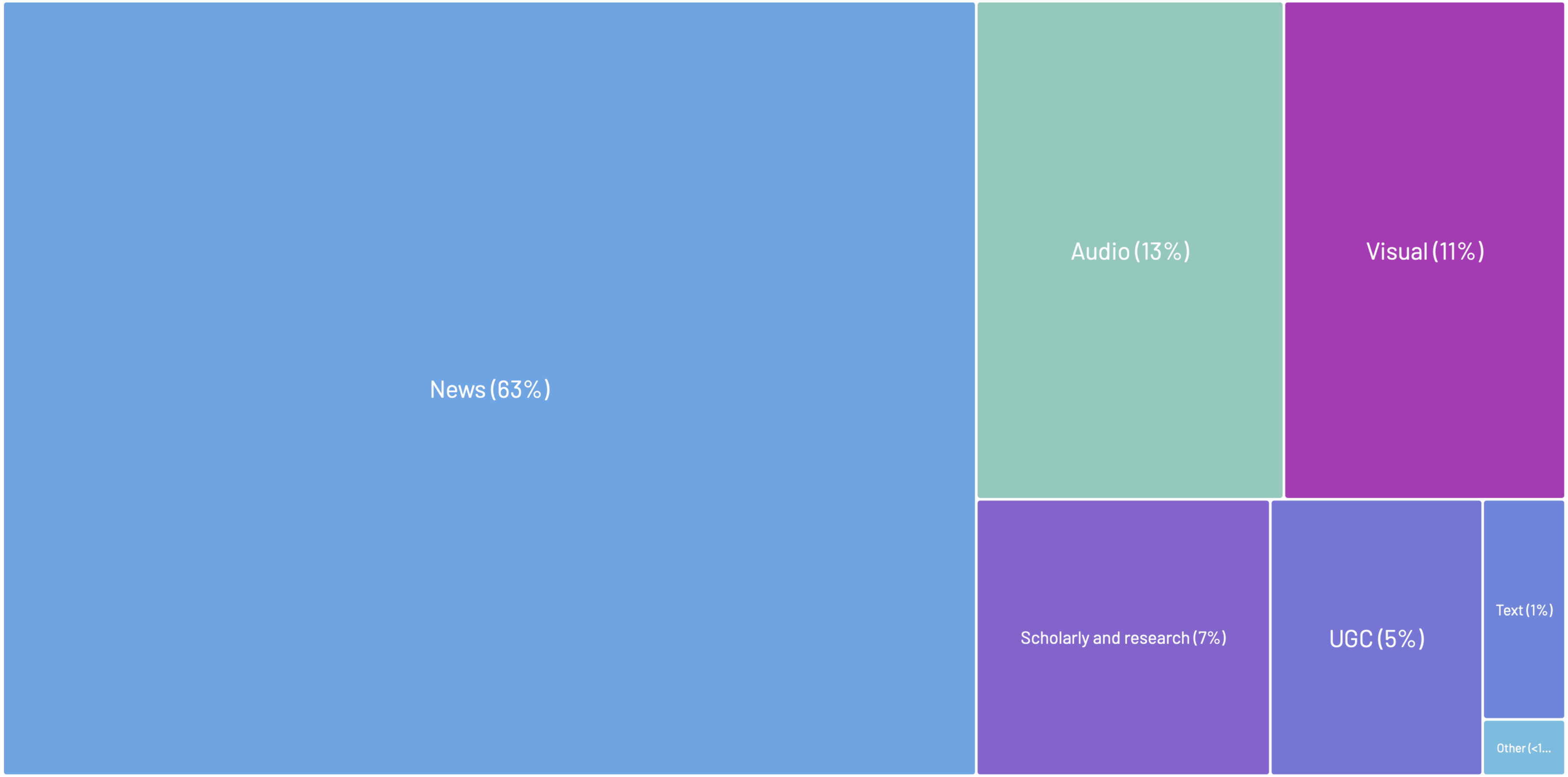
- KCAs are defined as: publicly announced agreements between creative content providers and AI developers where payments to the content provider (in respect of the use of that content by the AI developer) is either explicit or implied. In scope agreements were announced by at least one party to the agreement, or reported through a reputable news source.
- The legal form of these agreements are typically under-reported and cannot be coded consistently from the audited data sources.
- Examples: data access agreements, copyright licences, assurances not to sue, comprehensive partnerships and equity stakes.
- Agreements may involve training and output activities, and cover various technologies, such as augmented retrieval. They may be the result of out-of-court settlement of litigation. They may involve various jurisdictions, exclusivity clauses, and time periods.

Agreements between content providers and AI developers



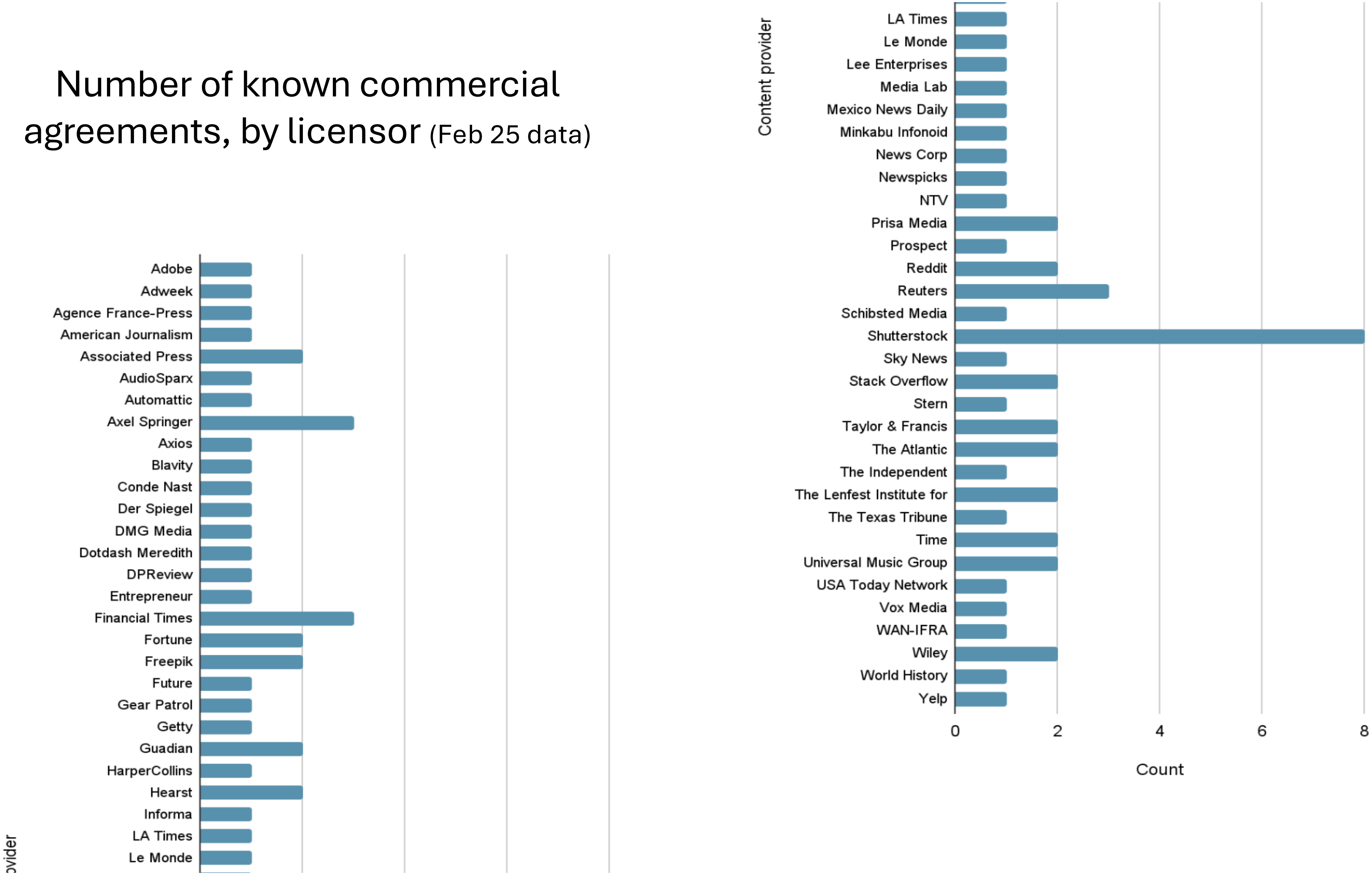
Estimated dates of known commercial agreements between content providers and AI developers (n=276)

Percentage of agreements, by content type

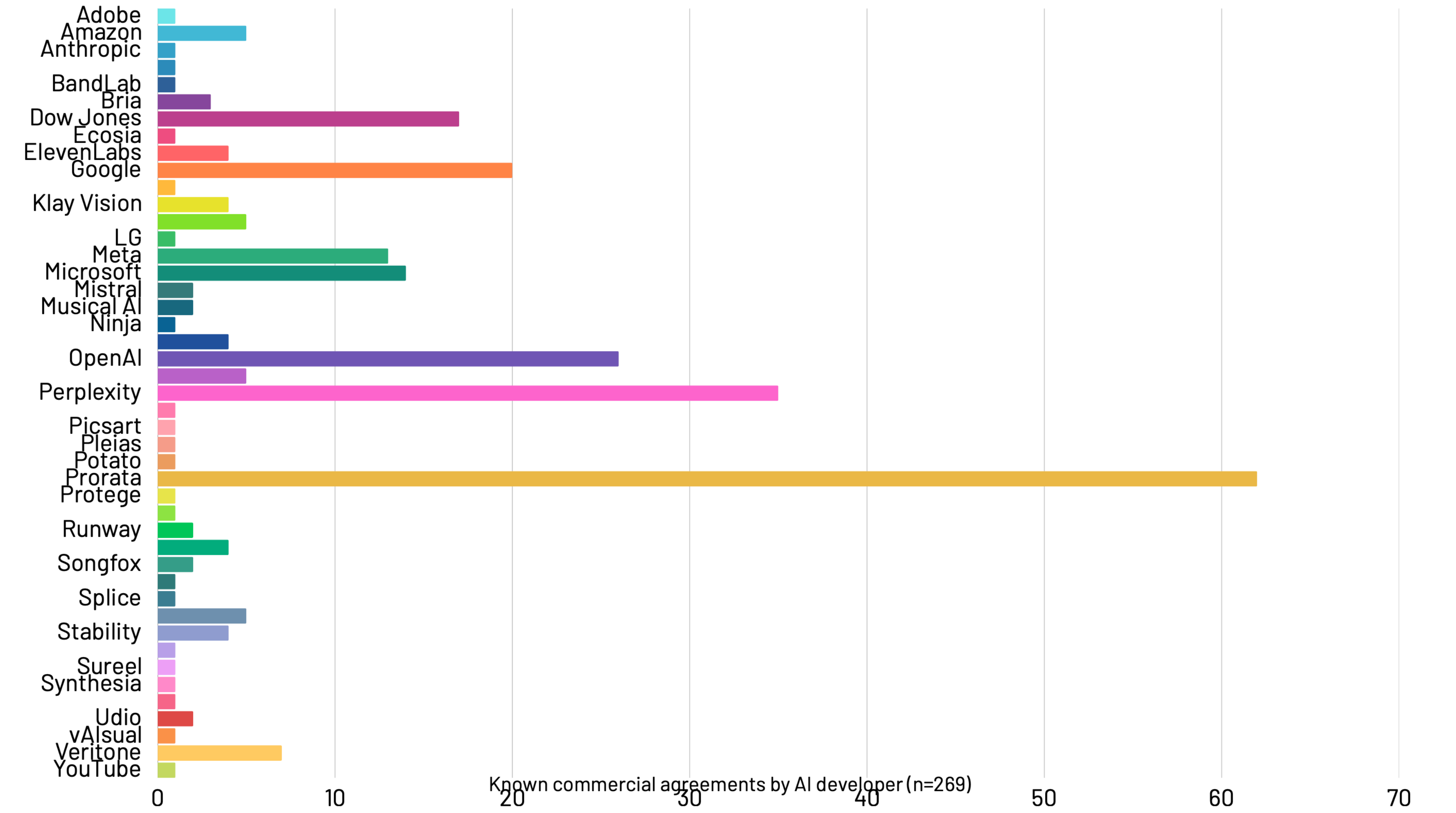


Percentage of known commercial agreements, by sector and content provider (n=276)

Number of known commercial agreements, by licensor (Feb 25 data)



Number of agreements, by AI developer



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copyright – technology – markets

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